Recurring stock discrepancies

From the headline balance to the next action

A stock adjustment can reconcile a balance without resolving the process that caused the discrepancy. This case study follows recurring differences from the warehouse total down to individual bins and supporting movement records.

What the analysis found

Warehouse totals can conceal operational problems. For mounting brackets, rubber feet and safety clips, shortages in one bin offset surpluses in another. The overall quantity agrees, but the system does not reliably describe where the stock is.

Visible differences also have different explanations. Receipt records for M8 washers and packing sleeves show a mismatch between the case conversion expected and the conversion applied. For carton tape and foam pads, dispatches completed before the count were posted afterwards.

Why this matters

These situations require different responses. Some balances need correcting; others are resolved by a later posting. Treating every count difference as another stock adjustment risks repeating work without addressing its cause.

The practical next step

Reconcile each discrepancy, trace the relevant receipt or movement, and identify the process requiring attention. Monitor both the frequency of discrepancies and their size, including differences that disappear in the warehouse total.

Illustrative case study using synthetic warehouse data. The analysis demonstrates an investigation approach; it does not measure the results of an implemented improvement.

A zero variance can look reassuring

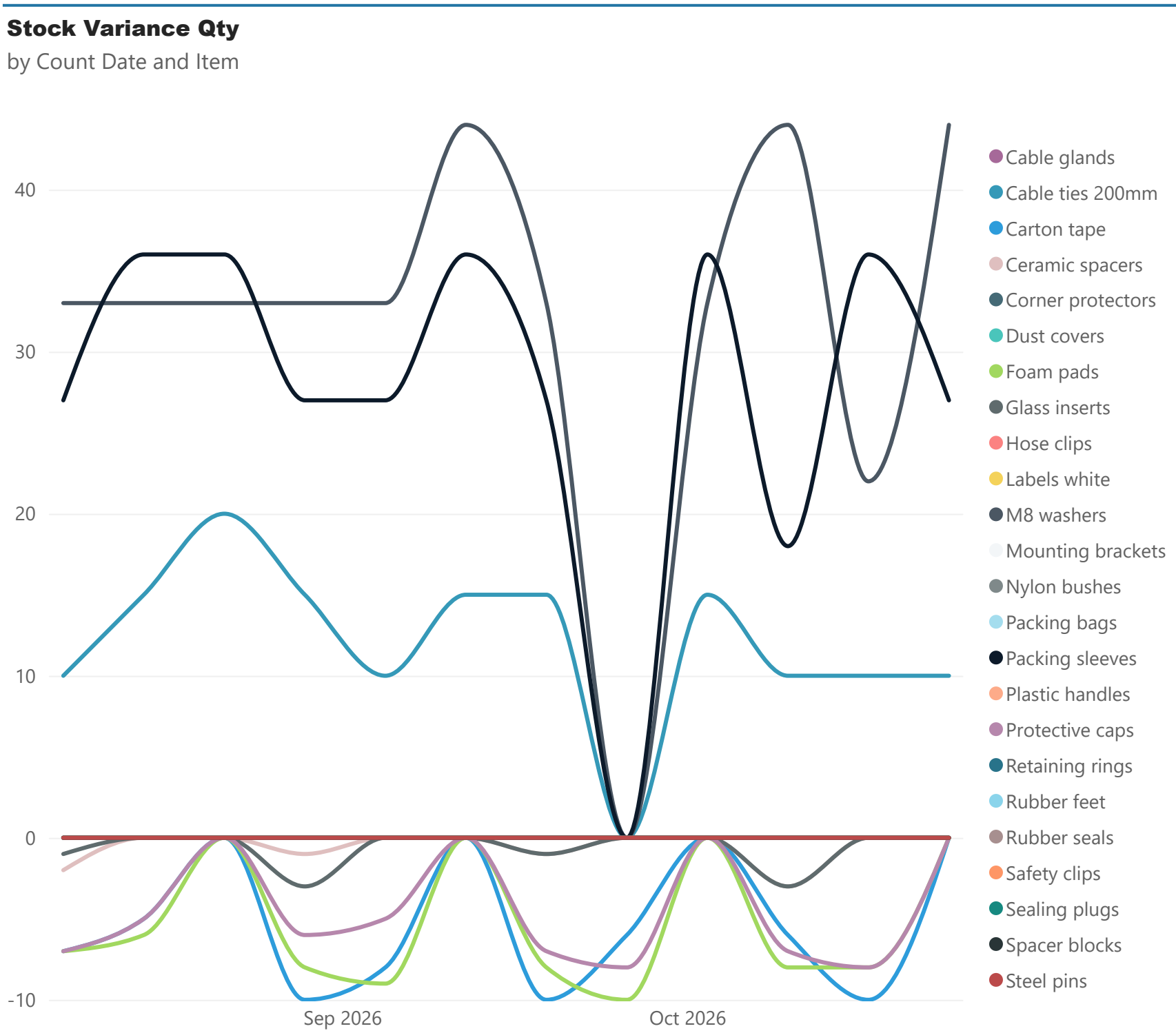
The larger differences draw our attention first. Several products repeatedly show counted quantities above or below the system balance, while others sit quietly on the zero line.

For some products, that zero reflects agreement throughout the warehouse. For others, differences between bins cancel each other out when the quantities are combined.

A warehouse team works with individual locations. A total that agrees may offer little reassurance when the quantity in a picking bin differs from what the system says should be there.

Before treating zero as evidence that everything is in order, we need to look beneath the total.

This case study uses synthetic warehouse data covering 12 weekly stock-count cycles.



The second look reveals a recurring pattern

Looking at discrepancy frequency by product and bin changes the picture.

Mounting brackets and rubber feet show differences between the system quantity and accepted count in both HOLD-A and PICK-A during 75% of count cycles: nine of the twelve observations in each location. Safety clips follow the same pattern.

These products can appear unremarkable in the warehouse-level chart, yet their individual bin balances repeatedly disagree.

The absolute standard-cost exposure helps us see differences that net totals conceal. It measures the scale of recorded discrepancies, rather than confirmed financial loss, and includes both sides of offsetting bin differences.

The practical question becomes clearer: how often does the team encounter a location balance it cannot rely on?

Discrepancies by Item and Bin ID

Bin ID	HOLD-A		PICK-A		RES-A	
Item	Discrepancy Frequency %	Absolute Standard Cost Exposure in GBP	Discrepancy Frequency %	Absolute Standard Cost Exposure in GBP	Discrepancy Frequency %	Absolute Standard Cost Exposure in GBP
Cable glands		0.00		0.00		0.00
Cable ties 200mm		0.00		0.00	91.67%	181.25
Carton tape		0.00	66.67%	623.10		0.00
Ceramic spacers		0.00	33.33%	108.71		0.00
Corner protectors		0.00		0.00		0.00
Dust covers		0.00		0.00		0.00
Foam pads		0.00	66.67%	749.44		0.00
Glass inserts		0.00	33.33%	110.96		0.00
Hose clips		0.00		0.00		0.00
Labels white		0.00		0.00		0.00
M8 washers		0.00		0.00	91.67%	1120.35
Mounting brackets	75.00%	538.40	75.00%	538.40		0.00
Nylon bushes		0.00		0.00		0.00
Packing bags		0.00		0.00		0.00
Packing sleeves		0.00		0.00	91.67%	1521.81
Plastic handles		0.00		0.00		0.00
Protective caps		0.00	66.67%	647.13		0.00
Retaining rings		0.00		0.00		0.00
Rubber feet	75.00%	595.69	75.00%	595.69		0.00
Rubber seals		0.00		0.00		0.00
Safety clips	75.00%	473.48	75.00%	473.48		0.00
Sealing plugs		0.00		0.00		0.00
Spacer blocks		0.00		0.00		0.00
Steel pins		0.00		0.00		0.00
Total	**9.38%**	**1607.57**	**20.49%**	**3846.91**	**11.46%**	**2823.41**

The total agrees. The bin balances do not.

The detailed counts show how those discrepancies disappear from the headline.

In cycle CC02, mounting brackets have 11 fewer units than recorded in HOLD-A and 11 more in PICK-A. The warehouse-level variance is zero. Rubber feet show the same pattern in that cycle: −12 in HOLD-A and +12 in PICK-A. Again, the total is zero.

For both products, offsetting differences recur in nine of the twelve cycles. The repeated disagreement remains visible to anyone checking or working with those bin balances, even when the headline suggests there is nothing to investigate.

Item	HOLD-A	PICK-A	RES-A	**Total**
⊟ **Mounting brackets**	**-80**	**80**	**0**	**0**
CC01	-6	6	0	**0**
CC02	-11	11	0	**0**
CC03	-12	12	0	**0**
CC04	0	0	0	**0**
CC05	-12	12	0	**0**
CC06	-7	7	0	**0**
CC07	-8	8	0	**0**
CC08	0	0	0	**0**
CC09	-10	10	0	**0**
CC10	-8	8	0	**0**
CC11	-6	6	0	**0**
CC12	0	0	0	**0**
Total	**-80**	**80**	**0**	**0**

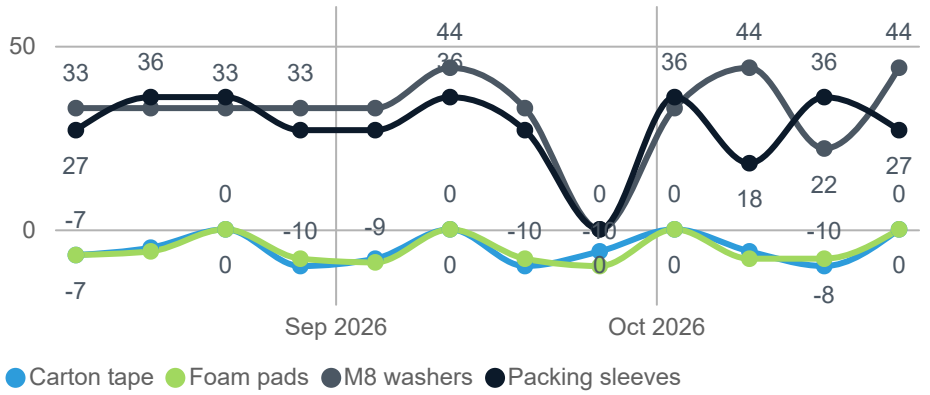
Item Name	HOLD-A	PICK-A	RES-A	**Total**
⊟ **Rubber feet**	**-71**	**71**	**0**	**0**
CC01	-6	6	0	**0**
CC02	-12	12	0	**0**
CC03	-9	9	0	**0**
CC04	0	0	0	**0**
CC05	-6	6	0	**0**
CC06	-8	8	0	**0**
CC07	-6	6	0	**0**
CC08	0	0	0	**0**
CC09	-6	6	0	**0**
CC10	-11	11	0	**0**
CC11	-7	7	0	**0**
CC12	0	0	0	**0**
Total	**-71**	**71**	**0**	**0**

The next step is tracing the underlying records to investigate both the larger visible variances and these hidden differences as well as late postings, before considering which recurring corrections might be avoidable.

The adjustment balances the stock. What explains the difference?.

A closer look at some of the visible differences and the actual system entries that caused the count variance.

Stock Variance Qty
by Count Date and Item



First, reconcile the variance

The reconciliation separates differences resolved by late postings from those requiring an approved adjustment. Nothing remains unexplained in the rows shown, but that does not tell us why the differences arose.

Cycle Count ID	Count Date	Item	Bin	Stock Variance Qty	Late Postings Qty	Approved Adjustments Qty	Unexplained Variance Qty	Adjustment Reason
CC01	07/08/2026	Carton tape	PICK-A	-7	-7	0	0	
CC01	07/08/2026	Foam pads	PICK-A	-7	-7	0	0	
CC01	07/08/2026	M8 washers	RES-A	33	0	33	0	Count reconciliation
CC01	07/08/2026	Packing sleeves	RES-A	27	0	27	0	Count reconciliation
CC06	11/09/2026	M8 washers	RES-A	44	0	44	0	Count reconciliation
CC06	11/09/2026	Packing sleeves	RES-A	36	0	36	0	Count reconciliation
CC11	16/10/2026	Carton tape	PICK-A	-10	-10	0	0	
CC11	16/10/2026	Foam pads	PICK-A	-8	-8	0	0	
CC11	16/10/2026	M8 washers	RES-A	22	0	22	0	Count reconciliation
CC11	16/10/2026	Packing sleeves	RES-A	36	0	36	0	Count reconciliation
Total				**166**	**-32**	**198**	**0**	

Follow the receipt back to its conversion

For the 11 September count, the receipt records show four cases of M8 washers, with 12 units per case: 48 units received. The system recorded only four units, leaving a difference of 44.

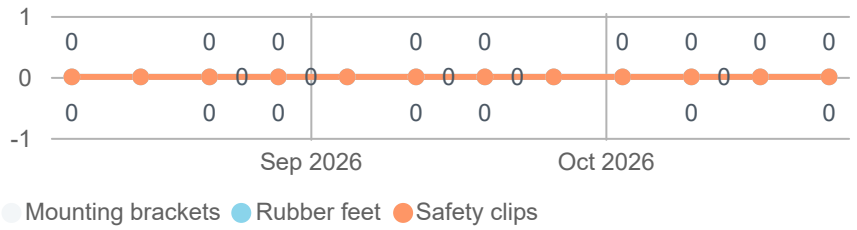
Packing sleeves follow the same pattern: four cases of ten should give 40 units, but the system recorded four, leaving a difference of 36.
Both entries show CASE as the unit of measure. The mismatch is in the conversion applied. Before repeating the correction, investigate why that conversion was used.

Item	System Entry ID	System Entry At	Paper Receipt Qty	Paper Receipt UoM	Units per UoM	UoM System Entry	Paper Receipt Total	System Entry Total	Receipt Qty Difference
M8 washers	TK001968	09/09/2026 10:00:00	4	CASE	12	1	48	4	44
Packing sleeves	TK001971	09/09/2026 10:00:00	4	CASE	10	1	40	4	36

The warehouse total agrees. The bin balances tell another story.

Mounting brackets, rubber feet and safety clips show no net warehouse variance. Yet the bin-level reconciliation reveals repeated shortages in HOLD-A and matching surplus.

Stock Variance Qty
by Count Date and Item



The differences cancel in the headline total.
They still matter to the person trying to find the stock.

Cycle Count ID	Count Date	Item	Bin	Stock Variance Qty	Late Postings Qty	Approved Adjustments Qty	Unexplained Variance Qty	Adjustment Reason
CC01	07/08/2026	Mounting brackets	HOLD-A	-6	0	-6	0	Count reconciliation
CC01	07/08/2026	Mounting brackets	PICK-A	6	0	6	0	Count reconciliation
CC01	07/08/2026	Rubber feet	HOLD-A	-6	0	-6	0	Count reconciliation
CC01	07/08/2026	Rubber feet	PICK-A	6	0	6	0	Count reconciliation
CC01	07/08/2026	Safety clips	HOLD-A	-8	0	-8	0	Count reconciliation
CC01	07/08/2026	Safety clips	PICK-A	8	0	8	0	Count reconciliation
CC06	11/09/2026	Mounting brackets	HOLD-A	-7	0	-7	0	Count reconciliation
CC06	11/09/2026	Mounting brackets	PICK-A	7	0	7	0	Count reconciliation
CC06	11/09/2026	Rubber feet	HOLD-A	-8	0	-8	0	Count reconciliation
CC06	11/09/2026	Rubber feet	PICK-A	8	0	8	0	Count reconciliation
CC06	11/09/2026	Safety clips	HOLD-A	-8	0	-8	0	Count reconciliation
CC06	11/09/2026	Safety clips	PICK-A	8	0	8	0	Count reconciliation
CC11	16/10/2026	Mounting brackets	HOLD-A	-6	0	-6	0	Count reconciliation
CC11	16/10/2026	Mounting brackets	PICK-A	6	0	6	0	Count reconciliation
CC11	16/10/2026	Rubber feet	HOLD-A	-7	0	-7	0	Count reconciliation
CC11	16/10/2026	Rubber feet	PICK-A	7	0	7	0	Count reconciliation
CC11	16/10/2026	Safety clips	HOLD-A	-8	0	-8	0	Count reconciliation
CC11	16/10/2026	Safety clips	PICK-A	8	0	8	0	Count reconciliation

Compare the physical destination with the recorded destination

The supporting records for the 11 September count show stock moved from RES-A to PICK-A. The system entries record the destination as HOLD-A. For mounting brackets, that leaves seven units more than expected in PICK-A and seven fewer in HOLD-A. Rubber feet and safety clips show the same pattern, with eight units each.

The adjustments bring the bin balances back into line. The next investigation is why the recorded destination differed from the physical destination, and what would help prevent a repeat.

Item	System Entry ID	System Entry At	Paper Bin From	Paper Bin To	System Bin To	System Qty
Mounting brackets	TK001902	08/09/2026 12:00:00	RES-A	PICK-A	HOLD-A	7
Rubber feet	TK001905	08/09/2026 12:00:00	RES-A	PICK-A	HOLD-A	8
Safety clips	TK001899	08/09/2026 12:00:00	RES-A	PICK-A	HOLD-A	8

The stock had left. The posting came later.

For the timing example, we move to the 18 September count.

Carton tape shows a shortage of ten units and foam pads a shortage of eight. The dispatch records show that these quantities had physically left before the count, but the movements were posted on 21 September.

At the count, the system therefore still included stock that was no longer in the bin.

Cycle Count ID	Count Date	Item	Bin	Stock Variance Qty	Late Postings Qty	Approved Adjustments Qty	Unexplained Variance Qty	Adjustment Reason
CC07	18/09/2026	Carton tape	PICK-A	-10	-10	0	0	
CC07	18/09/2026	Foam pads	PICK-A	-8	-8	0	0	
CC07	18/09/2026	M8 washers	RES-A	33	0	33	0	Count reconciliation
CC07	18/09/2026	Packing sleeves	RES-A	27	0	27	0	Count reconciliation
Total				**42**	**-18**	**60**	**0**	

Item	Stock Dispatched At	Movement Posted At	Bin	Movement Type	Qty moved
Carton tape	18/09/2026 16:30:00	21/09/2026 09:00:00	PICK-A	Dispatch	-10
Foam pads	18/09/2026 16:30:00	21/09/2026 09:00:00	PICK-A	Dispatch	-8

Check what has already resolved the difference

The later dispatch postings account for both shortages. No additional stock adjustment was needed for those rows.

M8 washers and packing sleeves, by comparison, required approved adjustments. The reconciliation distinguishes how each difference was resolved.

Use the explanation to guide the next action

A receipt conversion mismatch, a different recorded bin destination and a late dispatch posting can all appear as stock discrepancies. Each calls for a different follow-up.

Before approving another recurring correction, establish what happened, whether a later posting has already resolved it, and which process needs attention.

From recurring corrections to targeted checks

The analysis identified three mechanisms behind the selected discrepancies: receipt conversion mismatches, differences between physical and recorded bin destinations, and dispatch postings entered after the count.

These explain how the balances diverged. Further investigation is needed to establish why the mismatches occurred and which controls would prevent a repeat.

---

1. Check receipt conversions
For the affected products, compare the receipt unit of measure, units per case and resulting stock quantity. Investigate why CASE entries were converted using a factor of one, then validate the relevant setup and receipt process.

2. Check recorded destinations against physical movements
Review the transfers recorded to HOLD-A when the supporting records show PICK-A. Establish how the destination is selected and confirmed, and involve warehouse staff in identifying where the two accounts diverge.

3. Review outstanding postings before adjusting stock
Use the count cut-off to identify movements completed before the count but posted afterwards. Reconcile those movements before approving an additional adjustment, so the same difference is not corrected twice.

4. Record an explanation that supports follow-up
“Count reconciliation” describes the correction but provides little help in preventing recurrence. Record the supported explanation, the evidence reviewed, the person responsible for follow-up and any remaining uncertainty.

5. Check whether the pattern changes
At subsequent counts, track discrepancy frequency, absolute quantity differences and bin-level variances alongside the warehouse total. A zero total or a fully reconciled count does not, by itself, demonstrate that the underlying process has improved.

A useful stock report helps the team explain the difference, resolve it appropriately and recognise whether it returns.